

SUSTAINABLE INVESTMENT POLICY

Policy Statement and Objectives

The University of Mindanao (UM) recognizes its responsibility to manage its endowment and other investment assets in a manner that aligns with its commitment to environmental sustainability, social responsibility, and ethical governance. This Sustainable Investing Policy outlines the principles and guidelines that will govern the University's investment decisions, with the goal of generating long-term financial returns while contributing to a more sustainable future.

This policy aims to:

- Integrate environmental, social, and governance (ESG) factors into the University's investment decision-making processes.
- Restrict investments in companies and industries that have significant negative environmental or social impacts.
- Prioritize investments in local communities, environmentally sustainable opportunities, and sustainable infrastructure.
- Support academic programs and research initiatives related to sustainability through targeted investments.
- Enhance transparency and accountability in the University's investment practices.

Maximize long-term financial returns while minimizing risks associated with unsustainable practices.

Scope

This policy applies to all investment assets held by the University of Mindanao, including its endowment, reserves, and other investment portfolios, regardless of asset class or investment strategy.

Guiding Principles

The University of Mindanao will adhere to the following guiding principles in its investment activities:

ESG Integration: Incorporate ESG factors into investment analysis and decision-making, considering environmental impacts (e.g., climate change, resource depletion), social impacts (e.g., human rights, labor practices), and governance practices (e.g., board diversity, ethical conduct).

Negative Screening (Phase-Out of Unsustainable Investments): Systematically reduce and eventually eliminate investments in companies and industries that have significant negative environmental or social impacts, such as fossil fuels, deforestation, and weapons manufacturing. This phase-out will be conducted responsibly, considering financial implications and risk mitigation strategies.

Positive Screening (Sustainable Investments): Actively seek and prioritize investments in companies, projects, and funds that contribute to positive environmental and social outcomes, including renewable energy, energy efficiency, sustainable agriculture, affordable housing, and community development.

Impact Investing (Local Communities and Sustainable Infrastructure): Allocate a portion of the University's investment portfolio to impact investments that generate measurable social and environmental benefits alongside financial returns. This includes investments in local businesses, community development projects, and sustainable infrastructure (e.g., renewable energy projects, green buildings) within the University's region and beyond.

Sustainability-Related Academic Programs: Consider strategic investments that support and enhance the University's academic programs and research initiatives related to sustainability, such as funding for research centers, scholarships, and faculty positions in areas like environmental science, sustainable development, and renewable energy.

Shareholder Engagement: Actively engage with companies in which the University invests to encourage improved ESG performance and transparency. This may include voting proxies, filing shareholder resolutions, and participating in dialogues with company management.

Transparency and Disclosure: Regularly disclose information about the University's investment holdings and ESG performance to stakeholders, including students, faculty, staff, and the broader community.

Fiduciary Duty: The University's primary fiduciary duty is to maximize long-term financial returns while considering ESG factors. Investment decisions will be made prudently and in the best interests of the University and its beneficiaries.

Implementation Strategies

To achieve the objectives of this policy, the University of Mindanao will implement the following strategies:

Establish an Investment Committee: Create a dedicated Investment Committee with expertise in sustainable investing to oversee the implementation of this policy and make recommendations to the University's governing body.

Develop ESG Criteria and Metrics: Define specific ESG criteria and metrics to guide investment decisions and assess the sustainability performance of investments. These criteria will be aligned with recognized international standards and best practices.

Conduct ESG Due Diligence: Conduct thorough ESG due diligence on potential investments to assess their environmental and social risks and opportunities.

Implement a Divestment Plan: Develop a phased divestment plan to reduce and eliminate investments in unsustainable companies and industries. This plan will include timelines, targets, and risk mitigation strategies.

Seek Sustainable Investment Opportunities: Actively seek out and evaluate investment opportunities that align with the University's sustainability goals, including renewable energy projects, green bonds, and impact investment funds.

Engage with Investment Managers: Work with investment managers who have expertise in sustainable investing and are committed to integrating ESG factors into their investment processes.

Measure and Report on ESG Performance: Regularly measure and report on the ESG performance of the University's investment portfolio, including carbon footprint, social impact metrics, and progress towards divestment targets.

Provide Education and Training: Offer education and training to University stakeholders on sustainable investing principles and practices.

Collaborate with Other Institutions: Collaborate with other universities, foundations, and organizations to share best practices and promote sustainable investing.

Responsibilities

University Governing Body: Approve the Sustainable Investing Policy and oversee its implementation.

Investment Committee: Develop and recommend investment strategies, oversee the implementation of the policy, and monitor the performance of the University's investment portfolio.

University Administration: Provide resources and support for the implementation of the policy.

Finance Office: Implement investment decisions and manage the University's investment assets in accordance with the policy.

Office of Sustainability (if established): Provide expertise and guidance on sustainability matters related to investments.

Definitions

ESG Factors: Environmental, social, and governance factors that can affect the performance and sustainability of investments.

Negative Screening: Excluding investments in companies or industries that have negative environmental or social impacts.

Positive Screening: Actively seeking investments in companies or projects that contribute to positive environmental or social outcomes.

Impact Investing: Investments made into companies, organizations, and funds with the intention to generate measurable social and environmental impact alongside a financial return.

Divestment: The process of selling off investments in specific companies or industries.

Sustainability: Meeting the needs of the present without compromising the ability of future generations to meet their own needs.

Definitions

The implementation of this policy will be monitored regularly by the Investment Committee. The policy will be reviewed and updated periodically, at least every three (3) years, to ensure its continued relevance and effectiveness.

Communication

This policy will be communicated to all University stakeholders through appropriate channels, including the University website, public forums, and reports.

Signed:

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